

Leave Policy

Effective Date: 1 April 2026 | Version 2.4 | Owner: Human Resources Department

1. Purpose

This Leave Policy defines the types of leave available to employees of NovaTech Enterprises Pvt Ltd, eligibility criteria, accrual mechanisms, and the process for requesting and approving leave. The objective is to support employee wellbeing while ensuring adequate operational coverage across teams.

2. Applicability

This policy applies to all permanent, full-time employees. Interns and fixed-term contract employees are governed by leave terms specified in their respective engagement letters. The leave year runs from 1 April to 31 March.

3. Types of Leave

3.1 Earned Leave (EL)

Employees accrue 1.5 days of Earned Leave per completed month of service, totaling 18 days per leave year. Earned Leave may be availed for personal reasons and requires a minimum of 3 working days' advance notice, except in emergencies. A maximum of 10 unused Earned Leave days may be carried forward to the following leave year; any balance beyond this is lapsed.

3.2 Casual Leave (CL)

Employees are entitled to 8 days of Casual Leave per leave year, credited at the start of the year, intended for short-notice personal matters. Casual Leave cannot be carried forward or encashed and cannot be combined with Earned Leave for more than 3 consecutive days without HR approval.

3.3 Sick Leave (SL)

Employees are entitled to 10 days of Sick Leave per leave year for personal illness or medical appointments. Sick Leave exceeding 2 consecutive working days requires a medical certificate from a registered practitioner to be submitted to HR within 5 working days of returning to work.

3.4 Maternity Leave

Female employees are entitled to 26 weeks of paid Maternity Leave for the first two children, in accordance with the Maternity Benefit Act, 1961, as amended. For the third child onward, entitlement is 12 weeks. Employees must notify HR and their reporting manager at least 8 weeks prior to the expected leave start date, along with supporting medical documentation.

3.5 Paternity Leave

Male employees are entitled to 2 weeks of paid Paternity Leave, to be availed within 3 months of the child's birth, subject to manager approval and advance notice of at least 2 weeks where possible.

3.6 Bereavement Leave

Employees may avail up to 5 days of paid Bereavement Leave in the event of the death of an immediate family member (spouse, child, parent, or sibling), subject to notifying HR at the earliest opportunity.

3.7 Leave Without Pay (LWP)

In circumstances where an employee has exhausted all applicable leave balances, Leave Without Pay may be granted at the discretion of the reporting manager and HR, for a maximum of 30 days in a leave year, beyond which the case will be reviewed by the HR Business Partner and department head jointly.

4. Public Holidays

The Company observes 12 public holidays per calendar year, as per the holiday calendar published by HR in January each year. This includes 3 mandatory national holidays (Republic Day, Independence Day, Gandhi Jayanti) and 9 festival holidays determined regionally by office location.

5. Leave Application Process

- All leave must be applied for through the Company HRMS portal prior to the leave date, except in genuine emergencies.
- Leave requests are subject to approval by the direct reporting manager, who must respond within 2 working days.
- Employees are responsible for ensuring adequate handover of ongoing work prior to availing planned leave exceeding 3 days.
- Unapproved absence from work will be treated as Leave Without Pay and may be subject to disciplinary action if recurring.
- Leave balances and history can be viewed at any time through the employee's HRMS self-service dashboard.

6. Leave Encashment

Earned Leave balance beyond the permitted carry-forward limit of 10 days is eligible for encashment at the end of the leave year, calculated on the employee's basic salary. Encashment of full Earned Leave balance also applies at the time of separation from the Company, subject to completion of the exit clearance process.

7. Special Circumstances

Requests for extended leave due to medical treatment, family emergencies, or other exceptional circumstances not explicitly covered by this policy will be reviewed on a case-by-case basis by HR in consultation with the department head. The Company aims to be reasonable and supportive in genuine hardship situations while balancing operational requirements.

8. Compensatory Off

Employees required to work on a public holiday or weekend due to business necessity are eligible for Compensatory Off (Comp-Off), subject to prior approval from their reporting manager. Comp-Off must be availed within 30 days of accrual, failing which it will lapse. Comp-Off cannot be encashed under any circumstances and must be applied for through the HRMS portal in the same manner as other leave types.

9. Leave During Notice Period

Employees serving their notice period may avail leave only with explicit written approval from their reporting manager and HR, and only where adequate handover of responsibilities has been arranged. As a general rule, Earned Leave during the notice period is discouraged unless the leave was pre-approved prior to the resignation being submitted. Sick Leave supported by valid medical certification will continue to be honored during the notice period.

10. Roles and Responsibilities

- Employees are responsible for applying for leave in advance through the HRMS portal and ensuring adequate work handover.
- Reporting Managers are responsible for reviewing and responding to leave requests within 2 working days and ensuring fair distribution of leave approvals within their team.
- HR Business Partners are responsible for monitoring leave balances, flagging policy violations, and supporting managers with escalations related to extended or unusual leave patterns.
- The Payroll team is responsible for accurately reflecting approved leave, Leave Without Pay deductions, and encashment amounts in monthly payroll processing.

11. Frequently Raised Scenarios

11.1 Leave spanning a public holiday

If a public holiday falls within a period of approved Earned Leave or Casual Leave, the holiday is not counted against the employee's leave balance.

11.2 Half-day leave

Employees may apply for half-day leave (up to 2 half-days per month) against their Earned Leave or Casual Leave balance, to be availed either in the first or second half of the working day, subject to manager approval.

11.3 Leave during probation

Employees on probation accrue Earned Leave and Casual Leave on a pro-rata basis from the date of joining but may only avail leave with specific manager approval, given the evaluative nature of the probation period.

12. Policy Governance

This Leave Policy is administered by the Human Resources department and is subject to periodic review to remain compliant with applicable central and state labour laws. Any exceptions to this policy require written approval from the Head of HR. Employees with questions about their specific leave balance or eligibility should reach out to their HR Business Partner through the HRMS helpdesk.